MODULE 25 · DOMAIN 2 - PROCESS

Negotiation, suppliers and agile contracts

Negotiating with a strategy, managing supplier performance, handling changes and claims, contracts for adaptive work, and closing agreements.

DOMAIN II - Process EXAM WEIGHT 41% MODULE 25 of 49

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A contract sets the rules. The relationship delivers the work.

Preparing a negotiation strategy

- Know your **objectives** and priorities: what matters most, and what you can trade.
- Know your **BATNA**: the best alternative to a negotiated agreement.
- Set your **walk-away point** from the BATNA, before you start.
- Understand the other side's interests, constraints and likely alternatives.

> ON THE EXAM
>
> Your BATNA is your power in a negotiation. The better your alternative, the stronger your position.

BATNA, worked through

- Supplier A quotes **$500,000** for a data centre fit-out.
- Supplier B has quoted **$460,000** for equivalent work, with similar quality and dates.
- Your BATNA is **contracting Supplier B at $460,000**.
- So agreeing with Supplier A above about $460,000, for the same value, makes no sense.
- The **zone of possible agreement** is the overlap between what each side will accept.

> ON THE EXAM
>
> A BATNA is a real, available alternative. Not a hope, and not simply walking away with nothing.

Positional or principled negotiation?

POSITIONAL

Haggle over positions

- Each side states a position
- Concessions traded reluctantly
- Relationship strained
- Often ends in a split-the-difference

PRINCIPLED

Solve a shared problem

- Separate people from the problem
- Focus on interests, not positions
- Create options for mutual gain
- Use objective criteria

THE TIEBREAKER

Interests, options and objective criteria. The same approach as conflict management in module 11.

The project manager's role in negotiation

- The outline says **participate in** agreement negotiations. Often the PM is one voice among several.
- **Contract authority** usually sits with procurement or legal. Know who can sign and commit.
- The PM brings knowledge of scope, schedule, risks and what the project truly needs.
- A PM who agrees terms without authority can bind the organisation to a bad deal.

> ON THE EXAM
>
> Contribute the project's knowledge. Leave commitments to those with contract authority.

Managing suppliers

- Agree **performance measures** in the contract: service levels, quality, delivery, responsiveness.
- Hold regular **performance reviews**, not only when something goes wrong.
- Use **inspections and audits** where the contract allows them.
- Tie **payments** to accepted deliverables or milestones, as agreed.
- Treat the supplier's people as part of the extended team.

> ON THE EXAM
>
> The outline asks you to manage suppliers and contracts. Measure, review, and build the relationship.

Evaluating vendor performance

DIMENSION	EVIDENCE
Quality	Defects, rework, acceptance results
Schedule	Milestones met, delivery dates
Cost	Invoices against the contract, change frequency
Responsiveness	Speed of answers and fixes; communication
Compliance	Contract terms, safety, security, sustainability commitments

ON THE EXAM

Evaluate against the contract, with evidence, and discuss the results with the vendor.

Contract changes

- Change the contract only through its **change clause**, in writing, with the right authority.
- **Constructive changes**: verbal instructions or actions that change the work without a formal change.
- A site instruction to 'use the better material' can become a legitimate claim for extra cost.
- Make sure the whole team knows who may instruct the supplier, and how.

> ON THE EXAM
>
> Informal instructions to a supplier create formal obligations. Route every change through the contract.

Claims and disputes: an escalating path

01

Negotiate

Direct discussion, using the contract's claims process.

02

Mediation

A neutral third party helps the sides agree.

03

Arbitration

A neutral third party decides, usually bindingly.

04

Litigation

Court. The last resort: slow, costly, public.

ON THE EXAM

Negotiation first, always. Alternative dispute resolution before litigation.

Contracts for agile work

APPROACH	HOW IT WORKS
Capped time and materials	Pay for time, up to an agreed maximum
Fixed price per increment	Price each iteration or release separately, then decide the next
Not-to-exceed with early exit	Buyer can stop when enough value is delivered
Graduated fixed price	Rates adjust depending on whether delivery is early or late
Outcome-based	Payment tied to business results achieved
Exchange of scope	Swap unstarted items for new ones of equal size, at no charge

ON THE EXAM

Agile contracts keep flexibility to reprioritise and to stop early, while capping the buyer's risk.

Principles behind agile contracts

- **Collaboration** over negotiation, as the Agile Manifesto puts it.
- **Incremental** commitment: agree the next piece, not everything at once.
- The right to **reprioritise** and to **stop early**, without penalty.
- The contract still needs clear terms for quality, acceptance, intellectual property and payment.

> ON THE EXAM
>
> Collaboration over negotiation does not mean no contract. It means a contract that supports collaboration.

Verifying and closing the agreement

- **Verify objectives are met**: all deliverables accepted against the contract's criteria.
- Settle any open **claims**, and make the **final payment**.
- Give the seller **formal written notice** that the contract is complete.
- **Archive** records; run a procurement audit; record lessons learned.
- Early termination is possible, for convenience or for default, as the contract allows.

> ON THE EXAM
>
> A contract is closed formally, in writing, after acceptance, claims and payment are complete.

Project Lantern: the kiosk supplier

- **Negotiation**: Northgate's BATNA was a second supplier's quote; procurement signed, the PM advised.
- **Measures**: installation dates per clinic, defect rate, response time for faults.
- **Monthly review** with a shared scorecard; payments tied to each clinic's acceptance.
- **Rule**: only the PM or procurement lead may instruct the supplier; clinic staff raise requests through them.

> ON THE EXAM
>
> A prepared negotiation, measured performance, regular reviews, and one channel for instructions.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
What is our BATNA?	The best real alternative if this deal fails
Supplier claims extra cost for a verbal instruction	Constructive change: changes only in writing
Supplier keeps missing dates	Review against the contract; agree corrective action
Evolving product, need to reprioritise and stop early	Incremental or capped agile contract
Dispute over a claim	Negotiate first, then mediation or arbitration
Supplier finished; deliverables accepted	Settle claims, pay, give written notice, archive

ON THE EXAM

Prepare negotiations, measure suppliers, change contracts formally, and close them formally.

A buyer is negotiating with Supplier A, which quotes $500,000 for a network upgrade. Supplier B has submitted a firm quote of $460,000 for equivalent work, quality and dates.

The project manager is preparing the negotiation strategy.

What is the buyer's best alternative to a negotiated agreement?

A Contracting Supplier B at $460,000.

B Accepting Supplier A's quote of $500,000.

C Walking away and doing nothing.

D Splitting the difference at $480,000.

◆ PAUSE AND DECIDE

What is the buyer's best alternative to a negotiated agreement?

A Supplier B at $460,000.
The best real alternative available if talks with A fail.

B Accept A at $500,000.
That is an agreement with A, not an alternative to it.

C Walk away.
Worse than a real alternative that is already on the table.

D Split the difference.
A possible outcome of the negotiation, not an alternative to it.

THE SIGNAL

The BATNA is what you would actually do if this negotiation failed. Here, a firm quote from B.

> On a fixed price building contract, the buyer's site engineer verbally told the contractor to use a premium floor finish 'because it will look better'.
>
> The contractor has now submitted a claim for the extra cost, citing the instruction.

What should the project manager have done to prevent this?

A Allowed verbal instructions, since they save time on site.

B Refused in advance to pay for any changes on the project.

C Made sure all changes went through the contract's formal written change process, and told the team who may instruct the contractor.

D Terminated the contract when the instruction was discovered.

◆ PAUSE AND DECIDE

What should the project manager have done to prevent this?

A Allow verbal instructions.
Exactly how the constructive change happened.

B Refuse all change payments.
Not enforceable when the buyer's own staff instructed the change.

C Formal written changes; clear authority.
Prevents constructive changes at their source.

D Terminate the contract.
Wildly disproportionate. The contractor followed the buyer's instruction.

THE SIGNAL

A verbal instruction that changes the work is a constructive change. Formal process and clear authority prevent it.

> A logistics supplier has missed four of its last six contracted delivery dates. The goods themselves meet quality standards.
>
> The late deliveries are starting to affect the project's schedule.

What should the project manager do?

A. Review the supplier's performance against the contract with them, agree corrective action, and document it.

B. Terminate the contract for default immediately.

C. Withhold all payments until deliveries are on time.

D. Take no action, since the quality of the goods is good.

◆ PAUSE AND DECIDE

What should the project manager do?

A Review against the contract; corrective action.

Evaluates vendor performance with evidence and fixes it together, on record.

B Terminate now.

Premature, disruptive, and the goods are good. Try correction first.

C Withhold all payments.

Likely breaches the contract, and damages the relationship.

D Take no action.

Ignores a contracted obligation that is now hurting the schedule.

THE SIGNAL

A supplier underperforming against the contract: review with evidence, agree corrective action, document it.

> A charity wants an external agency to build its new donor app. The features will evolve as donors test early versions, and the charity may stop once the most valuable features are live.
>
> The trustees want a clear limit on the maximum spend.

Which contracting approach fits best?

A. A firm fixed price contract for the full specified scope, agreed up front.

B. A cost plus award fee contract with no cap.

C. A contract priced per increment, with a cap and the right to reprioritise and stop early.

D. An informal agreement, since agile values collaboration over contracts.

◆ PAUSE AND DECIDE

Which contracting approach fits best?

A Fixed price, full scope up front.

Freezes features that are meant to evolve. Every change becomes a dispute.

B Cost plus award fee, no cap.

No limit on spend, which the trustees ruled out.

C Per increment, capped, reprioritise and stop early.

Keeps adaptive flexibility and meets the trustees' spending limit.

D Informal agreement.

Misreads the manifesto. Collaboration needs a contract that supports it.

THE SIGNAL

Evolving scope, early exit, and a spending cap: an incremental, capped agile contract.

> A supplier submits a claim for additional payment, arguing that the buyer's delayed approvals caused extra work. The project manager believes the delays were within the contract's agreed turnaround times.
>
> The contract includes a claims procedure and an arbitration clause.

What should the project manager do first?

A Refer the claim to litigation.

B Start arbitration under the contract.

C Stop paying the supplier's invoices until the claim is withdrawn.

D Negotiate directly with the supplier through the contract's claims procedure.

◆ PAUSE AND DECIDE

What should the project manager do first?

A Litigation.
The last resort. Slow, costly, public, and relationship-ending.

B Arbitration.
Comes after negotiation fails, not before it starts.

C Stop paying.
Likely a breach by the buyer, and turns one dispute into two.

D Negotiate via the claims procedure.
The first step: compare the facts against the contract's turnaround times.

THE SIGNAL

Disputes follow a ladder: negotiate, then mediate or arbitrate, and litigate last.

> A supplier has completed its work, and all deliverables have been formally accepted. The supplier has asked for its final payment.
>
> One small claim about travel costs is still open.

What should happen before the contract is closed?

A. Make the final payment and move on, since the deliverables are accepted.

B. Settle the open claim, make the final payment, give formal written notice of completion, and archive the records.

C. Keep the contract open indefinitely in case problems arise later.

D. Close the contract and destroy the procurement records to save storage.

◆ PAUSE AND DECIDE

What should happen before the contract is closed?

A Pay and move on.

Leaves the claim open, which can resurface after closure.

B Settle, pay, written notice, archive.

Complete, formal closure of the agreement.

C Keep it open indefinitely.

Leaves obligations and budget unresolved. Warranties cover later problems.

D Destroy the records.

Records are needed for audits, warranties and future disputes.

THE SIGNAL

Closure is formal: claims settled, final payment, written notice, records archived.

Prepare with a BATNA. Manage the relationship. Change and close formally.